CIA Part 1 – Fraud Risks

100 Hard Questions with Detailed Explanations

Study Deck

October 15, 2026

Format & Coverage

100 hard questions on Fraud Risks.

Each question is followed by a detailed explanation slide.

Coverage: fraud definitions, fraud triangle, fraud diamond, red flags, occupational fraud, financial statement fraud, corruption, asset misappropriation, fraud risk assessment, fraud prevention/detection, fraud investigation, interviewing, evidence preservation, reporting, management override, collusion, IT fraud, and fraud-related standards.

Q1

Question: Which of the following best defines fraud?

A. An unintentional error in financial reporting.

B. An intentional act involving deception to obtain an unjust advantage.

C. A disagreement with management.

D. A minor policy violation.

Correct Answer: B

Q1 – Explanation

Correct: B. Fraud is an intentional act involving deception to obtain an unjust or illegal advantage.

A wrong: Errors are unintentional.

C wrong: Disagreement is not fraud.

D wrong: Minor policy violations may not be fraud.

Q2

Question: The fraud triangle consists of:

A. Pressure, opportunity, rationalization.

B. Risk, control, detection.

C. Plan, do, check.

D. Cash, inventory, receivables.

Correct Answer: A

Q2 – Explanation

Correct: A. Cressey's fraud triangle: pressure (incentive), opportunity, and rationalization.

B wrong: That's the audit risk model.

C wrong: That's the Deming/PDCA cycle.

D wrong: Those are balance sheet accounts.

Q3

Question: The fraud diamond adds which element to the fraud triangle?

A. Capability.

B. Pressure.

C. Opportunity.

D. Rationalization.

Correct Answer: A

Q3 – Explanation

Correct: A. The fraud diamond adds capability (the person's skills/position to commit fraud).

B wrong: Pressure is in the triangle.

C wrong: Opportunity is in the triangle.

D wrong: Rationalization is in the triangle.

Q4

Question: Which is NOT a category of occupational fraud?

A. Asset misappropriation.

B. Corruption.

C. Financial statement fraud.

D. Market manipulation.

Correct Answer: D

Q4 – Explanation

Correct: D. ACFE's occupational fraud tree: asset misappropriation, corruption, financial statement fraud. Market manipulation is securities fraud, not occupational fraud.

A wrong: Asset misappropriation is a category.

B wrong: Corruption is a category.

C wrong: Financial statement fraud is a category.

Q5

Question: Which is the most common type of occupational fraud?

A. Asset misappropriation.

B. Corruption.

C. Financial statement fraud.

D. Market manipulation.

Correct Answer: A

Q5 – Explanation

Correct: A. Asset misappropriation is the most common but least costly type of occupational fraud.

B wrong: Corruption is less common.

C wrong: Financial statement fraud is least common but most costly.

D wrong: Market manipulation is not occupational fraud.

Q6

Question: Which is the most costly type of occupational fraud?

A. Asset misappropriation.

B. Corruption.

C. Financial statement fraud.

D. Market manipulation.

Correct Answer: C

Q6 – Explanation

Correct: C. Financial statement fraud is least common but most costly per case.

A wrong: Asset misappropriation is most common but least costly.

B wrong: Corruption is in the middle.

D wrong: Market manipulation is not occupational fraud.

Q7

Question: Which is a red flag for fraud?

A. Strong segregation of duties.

B. Lifestyle changes inconsistent with salary.

C. Regular reconciliations.

D. Timely reporting.

Correct Answer: B

Q7 – Explanation

Correct: B. Unexplained lifestyle changes are a classic fraud red flag.

A wrong: Segregation of duties is a control.

C wrong: Reconciliations are controls.

D wrong: Timely reporting is a positive sign.

Q8

Question: Which is a red flag for financial statement fraud?

A. Rapid revenue growth inconsistent with industry.

B. Strong internal controls.

C. Regular reconciliations.

D. Timely reporting.

Correct Answer: A

Q8 – Explanation

Correct: A. Revenue growth inconsistent with industry or cash flow is a red flag.

B wrong: Strong controls reduce risk.

C wrong: Reconciliations are controls.

D wrong: Timely reporting is a positive sign.

Q9

Question: Which is a red flag for asset misappropriation?

A. Employee living beyond means.

B. Strong segregation of duties.

C. Regular reconciliations.

D. Timely reporting.

Correct Answer: A

Q9 – Explanation

Correct: A. Living beyond means is a classic red flag for asset misappropriation.

B wrong: Segregation of duties is a control.

C wrong: Reconciliations are controls.

D wrong: Timely reporting is a positive sign.

Q10

Question: Which is a red flag for corruption?

A. Close relationship with a vendor.

B. Strong segregation of duties.

C. Regular reconciliations.

D. Timely reporting.

Correct Answer: A

Q10 – Explanation

Correct: A. Close relationships with vendors can indicate bribery or kickbacks.

B wrong: Segregation of duties is a control.

C wrong: Reconciliations are controls.

D wrong: Timely reporting is a positive sign.

Q11

Question: Which best describes "management override"?

A. Management bypasses controls to commit fraud.

B. Management follows all controls.

C. Management documents controls.

D. Management tests controls.

Correct Answer: A

Q11 – Explanation

Correct: A. Management override is when management bypasses controls, often for fraud. It is a key limitation of internal control.

B wrong: Following controls is not override.

C wrong: Documentation is not override.

D wrong: Testing is not override.

Q12

Question: Which best describes "collusion"?

A. Two or more people working together to commit fraud.

B. One person acting alone.

C. A control activity.

D. A type of reconciliation.

Correct Answer: A

Q12 – Explanation

Correct: A. Collusion is when two or more people work together to commit fraud, defeating segregation of duties.

B wrong: One person is not collusion.

C wrong: Collusion is not a control.

D wrong: Reconciliation is a control.

Q13

Question: Which best describes "fraud risk assessment"?

A. A continuous process integrated into audit planning.

B. A one-time exercise.

C. Only the external auditor's responsibility.

D. Only relevant for public companies.

Correct Answer: A

Q13 – Explanation

Correct: A. Fraud risk assessment is continuous and integrated into audit planning.

B wrong: One-time assessments miss emerging risks.

C wrong: Internal audit also assesses fraud risk.

D wrong: All organizations face fraud risk.

Q14

Question: Which is the best way to prevent fraud?

A. Strong internal controls and ethical culture.

B. Ignoring red flags.

C. Reducing segregation of duties.

D. Eliminating reconciliations.

Correct Answer: A

Q14 – Explanation

Correct: A. Fraud prevention relies on strong internal controls, ethical culture, and tone at the top.

B wrong: Ignoring red flags enables fraud.

C wrong: Reducing segregation increases risk.

D wrong: Eliminating reconciliations increases risk.

Q15

Question: Which is the best way to detect fraud?

A. Tips and hotlines.

B. Ignoring red flags.

C. Reducing segregation of duties.

D. Eliminating reconciliations.

Correct Answer: A

Q15 – Explanation

Correct: A. Tips and hotlines are the most common way fraud is detected.

B wrong: Ignoring red flags enables fraud.

C wrong: Reducing segregation increases risk.

D wrong: Eliminating reconciliations increases risk.

Q16

Question: When fraud is suspected, the internal auditor should:

A. Confront the suspect immediately.

B. Notify appropriate authorities and recommend investigation.

C. Ignore it until year-end.

D. Destroy workpapers.

Correct Answer: B

Q16 – Explanation

Correct: B. Standard 1210.A2: auditors must identify fraud indicators and report them to appropriate authorities; investigation is management/legal's job.

A wrong: Confronting the suspect can tip them off and destroy evidence.

C wrong: Delay allows fraud to continue.

D wrong: Destroying workpapers is unethical and illegal.

Q17

Question: Which best describes "fraud investigation"?

A. A process to resolve allegations of fraud.

B. A routine audit.

C. A control activity.

D. A reconciliation.

Correct Answer: A

Q17 – Explanation

Correct: A. Fraud investigation resolves allegations of fraud through evidence gathering and interviews.

B wrong: Routine audit is separate.

C wrong: Investigation is not a control.

D wrong: Reconciliation is a control.

Q18

Question: Which is the best way to preserve fraud evidence?

A. Document, secure, and maintain chain of custody.

B. Delete suspicious files.

C. Ignore evidence.

D. Confront the suspect.

Correct Answer: A

Q18 – Explanation

Correct: A. Evidence must be documented, secured, and chain of custody maintained for legal use.

B wrong: Deleting files destroys evidence.

C wrong: Ignoring evidence is unethical.

D wrong: Confronting can compromise the investigation.

Q19

Question: Which best describes "fraud interviewing"?

A. A structured approach to gather information from interviewees.

B. A confrontation.

C. A control activity.

D. A reconciliation.

Correct Answer: A

Q19 – Explanation

Correct: A. Fraud interviewing gathers information through structured, non-accusatory questioning.

B wrong: Confrontation can be counterproductive.

C wrong: Interviewing is not a control.

D wrong: Reconciliation is a control.

Q20

Question: Which best describes "fraud reporting"?

A. Communicating fraud findings to appropriate parties.

B. Ignoring fraud.

C. Confronting the suspect.

D. Destroying evidence.

Correct Answer: A

Q20 – Explanation

Correct: A. Fraud reporting communicates findings to management, the board, and possibly regulators/law enforcement.

B wrong: Ignoring is unethical.

C wrong: Confronting is not reporting.

D wrong: Destroying evidence is illegal.

Q21

Question: Which best describes "occupational fraud"?

A. Fraud committed by employees against their employer.

B. Fraud by external parties.

C. Market manipulation.

D. Tax evasion.

Correct Answer: A

Q21 – Explanation

Correct: A. Occupational fraud is fraud committed by employees against their employer.

B wrong: External fraud is separate.

C wrong: Market manipulation is securities fraud.

D wrong: Tax evasion is a different crime.

Q22

Question: Which is a type of asset misappropriation?

A. Skimming.

B. Bribery.

C. Financial statement fraud.

D. Market manipulation.

Correct Answer: A

Q22 – Explanation

Correct: A. Skimming (stealing cash before recording) is asset misappropriation.

B wrong: Bribery is corruption.

C wrong: Financial statement fraud is separate.

D wrong: Market manipulation is securities fraud.

Q23

Question: Which is a type of corruption?

A. Bribery.

B. Skimming.

C. Financial statement fraud.

D. Market manipulation.

Correct Answer: A

Q23 – Explanation

Correct: A. Bribery is a type of corruption.

B wrong: Skimming is asset misappropriation.

C wrong: Financial statement fraud is separate.

D wrong: Market manipulation is securities fraud.

Q24

Question: Which is a type of financial statement fraud?

A. Revenue recognition fraud.

B. Skimming.

C. Bribery.

D. Market manipulation.

Correct Answer: A

Q24 – Explanation

Correct: A. Revenue recognition fraud (e.g., premature or fictitious revenue) is financial statement fraud.

B wrong: Skimming is asset misappropriation.

C wrong: Bribery is corruption.

D wrong: Market manipulation is securities fraud.

Q25

Question: Which best describes "skimming"?

A. Stealing cash before it is recorded.

B. Stealing cash after it is recorded.

C. Bribery.

D. Financial statement fraud.

Correct Answer: A

Q25 – Explanation

Correct: A. Skimming is stealing cash before it is recorded, making it harder to detect.

B wrong: Stealing after recording is larceny.

C wrong: Bribery is corruption.

D wrong: Financial statement fraud is separate.

Q26

Question: Which best describes "larceny"?

A. Stealing cash after it is recorded.

B. Stealing cash before it is recorded.

C. Bribery.

D. Financial statement fraud.

Correct Answer: A

Q26 – Explanation

Correct: A. Larceny is stealing cash after it is recorded.

B wrong: Stealing before recording is skimming.

C wrong: Bribery is corruption.

D wrong: Financial statement fraud is separate.

Q27

Question: Which best describes "kiting"?

A. Manipulating bank transfers to cover a cash shortage.

B. Stealing cash before recording.

C. Bribery.

D. Financial statement fraud.

Correct Answer: A

Q27 – Explanation

Correct: A. Kiting manipulates bank transfers (e.g., checks between accounts) to cover a cash shortage.

B wrong: Skimming is stealing before recording.

C wrong: Bribery is corruption.

D wrong: Financial statement fraud is separate.

Q28

Question: Which best describes "lapping"?

A. Using subsequent receipts to cover a stolen receipt.

B. Stealing cash before recording.

C. Bribery.

D. Financial statement fraud.

Correct Answer: A

Q28 – Explanation

Correct: A. Lapping uses subsequent receipts to cover a stolen receipt, often in receivables.

B wrong: Skimming is stealing before recording.

C wrong: Bribery is corruption.

D wrong: Financial statement fraud is separate.

Q29

Question: Which best describes "ghost employee"?

A. A fictitious employee on the payroll.

B. A real employee.

C. A vendor.

D. A customer.

Correct Answer: A

Q29 – Explanation

Correct: A. A ghost employee is a fictitious employee added to payroll to divert funds.

B wrong: Real employees are not ghosts.

C wrong: Vendors are separate.

D wrong: Customers are separate.

Q30

Question: Which best describes "kickback"?

A. A payment to an employee for awarding a contract.

B. A legitimate discount.

C. A tax payment.

D. A bonus.

Correct Answer: A

Q30 – Explanation

Correct: A. A kickback is an illegal payment to an employee for awarding a contract or influencing a decision.

B wrong: Discounts are legitimate.

C wrong: Taxes are legal.

D wrong: Bonuses are legitimate.

Q31

Question: Which best describes "bribery"?

A. Offering something of value to influence a decision.

B. A legitimate discount.

C. A tax payment.

D. A bonus.

Correct Answer: A

Q31 – Explanation

Correct: A. Bribery is offering something of value to influence a decision.

B wrong: Discounts are legitimate.

C wrong: Taxes are legal.

D wrong: Bonuses are legitimate.

Q32

Question: Which best describes "economic extortion"?

A. Demanding payment to avoid harm.

B. Offering a discount.

C. Paying taxes.

D. Receiving a bonus.

Correct Answer: A

Q32 – Explanation

Correct: A. Economic extortion is demanding payment to avoid harm or unfavorable action.

B wrong: Discounts are legitimate.

C wrong: Taxes are legal.

D wrong: Bonuses are legitimate.

Q33

Question: Which best describes "conflict of interest"?

A. A situation where personal interests could improperly influence judgment.

B. A disagreement with management.

C. A difference of opinion on audit scope.

D. A budget dispute.

Correct Answer: A

Q33 – Explanation

Correct: A. A conflict of interest exists when personal interests could improperly influence judgment.

B wrong: Disagreement is not automatically a conflict.

C wrong: Scope differences are professional.

D wrong: Budget disputes are administrative.

Q34

Question: Which best describes "financial statement fraud"?

A. Intentional misstatement of financial statements.

B. A clerical error.

C. A disagreement with management.

D. A budget dispute.

Correct Answer: A

Q34 – Explanation

Correct: A. Financial statement fraud is intentional misstatement to deceive users.

B wrong: Clerical errors are unintentional.

C wrong: Disagreement is not fraud.

D wrong: Budget disputes are administrative.

Q35

Question: Which is a common financial statement fraud scheme?

A. Premature revenue recognition.

B. Skimming.

C. Bribery.

D. Ghost employees.

Correct Answer: A

Q35 – Explanation

Correct: A. Premature revenue recognition is a common financial statement fraud scheme.

B wrong: Skimming is asset misappropriation.

C wrong: Bribery is corruption.

D wrong: Ghost employees are payroll fraud.

Q36

Question: Which is a common asset misappropriation scheme?

A. Skimming.

B. Premature revenue recognition.

C. Bribery.

D. Financial statement fraud.

Correct Answer: A

Q36 – Explanation

Correct: A. Skimming is a common asset misappropriation scheme.

B wrong: Premature revenue is financial statement fraud.

C wrong: Bribery is corruption.

D wrong: Financial statement fraud is separate.

Q37

Question: Which is a common corruption scheme?

A. Bribery.

B. Skimming.

C. Premature revenue recognition.

D. Ghost employees.

Correct Answer: A

Q37 – Explanation

Correct: A. Bribery is a common corruption scheme.

B wrong: Skimming is asset misappropriation.

C wrong: Premature revenue is financial statement fraud.

D wrong: Ghost employees are payroll fraud.

Q38

Question: Which best describes "fraud risk assessment"?

A. Identifying fraud risks and evaluating controls.

B. Ignoring fraud risks.

C. Confronting suspects.

D. Destroying evidence.

Correct Answer: A

Q38 – Explanation

Correct: A. Fraud risk assessment identifies fraud risks and evaluates controls to mitigate them.

B wrong: Ignoring is unethical.

C wrong: Confronting is not assessment.

D wrong: Destroying evidence is illegal.

Q39

Question: Which best describes "fraud prevention"?

A. Controls and culture to stop fraud before it occurs.

B. Detecting fraud after it occurs.

C. Confronting suspects.

D. Destroying evidence.

Correct Answer: A

Q39 – Explanation

Correct: A. Fraud prevention uses controls and culture to stop fraud before it occurs.

B wrong: Detection is after the fact.

C wrong: Confronting is not prevention.

D wrong: Destroying evidence is illegal.

Q40

Question: Which best describes "fraud detection"?

A. Controls and procedures to identify fraud after it occurs.

B. Controls to stop fraud before it occurs.

C. Confronting suspects.

D. Destroying evidence.

Correct Answer: A

Q40 – Explanation

Correct: A. Fraud detection identifies fraud after it occurs (e.g., tips, reconciliations, analytics).

B wrong: Prevention is before the fact.

C wrong: Confronting is not detection.

D wrong: Destroying evidence is illegal.

Q41

Question: Which is the most common way fraud is detected?

A. Tips and hotlines.

B. External audit.

C. Internal audit.

D. Management review.

Correct Answer: A

Q41 – Explanation

Correct: A. Tips and hotlines are the most common detection method.

B wrong: External audit detects some fraud.

C wrong: Internal audit detects some fraud.

D wrong: Management review detects some fraud.

Q42

Question: Which best describes "fraud risk factor"?

A. A condition that increases the likelihood of fraud.

B. A control activity.

C. A reconciliation.

D. A budget.

Correct Answer: A

Q42 – Explanation

Correct: A. A fraud risk factor increases the likelihood of fraud (e.g., pressure, opportunity, rationalization).

B wrong: Control activities mitigate risk.

C wrong: Reconciliations are controls.

D wrong: Budgets are planning tools.

Q43

Question: Which best describes "fraud risk register"?

A. A list of fraud risks and their controls.

B. A list of employees.

C. A list of vendors.

D. A list of customers.

Correct Answer: A

Q43 – Explanation

Correct: A. A fraud risk register documents fraud risks, their assessment, and controls.

B wrong: Employees are not a fraud register.

C wrong: Vendors are not a fraud register.

D wrong: Customers are not a fraud register.

Q44

Question: Which best describes "fraud risk assessment" in audit planning?

A. Considering fraud risks when planning the engagement.

B. Ignoring fraud risks.

C. Confronting suspects.

D. Destroying evidence.

Correct Answer: A

Q44 – Explanation

Correct: A. Audit planning must consider fraud risks and design procedures to address them.

B wrong: Ignoring is unethical.

C wrong: Confronting is not planning.

D wrong: Destroying evidence is illegal.

Q45

Question: Which best describes "fraud brainstorming"?

A. A team discussion of how fraud could occur.

B. A control activity.

C. A reconciliation.

D. A budget.

Correct Answer: A

Q45 – Explanation

Correct: A. Fraud brainstorming is a team discussion of how and where fraud could occur.

B wrong: It is not a control.

C wrong: It is not a reconciliation.

D wrong: It is not a budget.

Q46

Question: Which best describes "fraud risk factor – pressure"?

A. Financial or personal pressure on an individual.

B. A control activity.

C. A reconciliation.

D. A budget.

Correct Answer: A

Q46 – Explanation

Correct: A. Pressure is financial or personal stress that motivates fraud.

B wrong: It is not a control.

C wrong: It is not a reconciliation.

D wrong: It is not a budget.

Q47

Question: Which best describes "fraud risk factor – opportunity"?

A. Weak controls that allow fraud to occur.

B. Strong controls.

C. A reconciliation.

D. A budget.

Correct Answer: A

Q47 – Explanation

Correct: A. Opportunity is created by weak controls that allow fraud to occur.

B wrong: Strong controls reduce opportunity.

C wrong: Reconciliations are controls.

D wrong: Budgets are planning tools.

Q48

Question: Which best describes "fraud risk factor – rationalization"?

A. The fraudster justifies the act.

B. Strong controls.

C. A reconciliation.

D. A budget.

Correct Answer: A

Q48 – Explanation

Correct: A. Rationalization is how the fraudster justifies the act (e.g., "I was underpaid").

B wrong: Strong controls reduce opportunity.

C wrong: Reconciliations are controls.

D wrong: Budgets are planning tools.

Q49

Question: Which best describes "fraud risk factor – capability"?

A. The person's skills and position to commit fraud.

B. Strong controls.

C. A reconciliation.

D. A budget.

Correct Answer: A

Q49 – Explanation

Correct: A. Capability is the person's skills, position, and ability to commit and conceal fraud.

B wrong: Strong controls reduce opportunity.

C wrong: Reconciliations are controls.

D wrong: Budgets are planning tools.

Q50

Question: Which best describes "fraud risk assessment" vs. "fraud investigation"?

A. Assessment identifies risks; investigation resolves allegations.

B. Assessment resolves; investigation identifies.

C. They are the same.

D. Neither matters.

Correct Answer: A

Q50 – Explanation

Correct: A. Assessment identifies and evaluates fraud risks; investigation resolves allegations of fraud.

B wrong: Definitions are reversed.

C wrong: They are distinct.

D wrong: Both matter.

Q51

Question: Which best describes "fraud prevention" vs. "fraud detection"?

A. Prevention stops fraud; detection finds fraud.

B. Prevention finds; detection stops.

C. They are the same.

D. Neither matters.

Correct Answer: A

Q51 – Explanation

Correct: A. Prevention stops fraud before it occurs; detection finds it after.

B wrong: Definitions are reversed.

C wrong: They are distinct.

D wrong: Both matter.

Q52

Question: Which best describes "fraud risk assessment" vs. "fraud risk register"?

A. Assessment is the process; register documents the results.

B. Register is the process; assessment documents.

C. They are the same.

D. Neither matters.

Correct Answer: A

Q52 – Explanation

Correct: A. Fraud risk assessment is the process; the fraud risk register documents the results.

B wrong: Definitions are reversed.

C wrong: They are distinct.

D wrong: Both matter.

Q53

Question: Which best describes "fraud risk factor" vs. "fraud risk"?

A. Factor increases likelihood; risk is the potential event.

B. Risk increases likelihood; factor is the event.

C. They are the same.

D. Neither matters.

Correct Answer: A

Q53 – Explanation

Correct: A. A fraud risk factor increases the likelihood of fraud; fraud risk is the potential event itself.

B wrong: Definitions are reversed.

C wrong: They are distinct.

D wrong: Both matter.

Q54

Question: Which best describes "fraud risk assessment" vs. "risk assessment"?

A. Fraud risk assessment focuses on intentional acts; risk assessment is broader.

B. They are the same.

C. Risk assessment focuses on fraud only.

D. Neither matters.

Correct Answer: A

Q54 – Explanation

Correct: A. Fraud risk assessment focuses on intentional acts; general risk assessment covers all risks.

B wrong: They differ in scope.

C wrong: General risk assessment is broader.

D wrong: Both matter.

Q55

Question: Which best describes "fraud risk assessment" vs. "control risk assessment"?

A. Fraud risk assessment focuses on intentional acts; control risk assessment focuses on control failures.

B. They are the same.

C. Control risk assessment focuses on fraud only.

D. Neither matters.

Correct Answer: A

Q55 – Explanation

Correct: A. Fraud risk assessment focuses on intentional acts; control risk assessment focuses on control failures.

B wrong: They differ.

C wrong: Control risk assessment is broader.

D wrong: Both matter.

Q56

Question: Which best describes "fraud risk assessment" vs. "inherent risk assessment"?

A. Fraud risk assessment focuses on intentional acts; inherent risk is before controls.

B. They are the same.

C. Inherent risk focuses on fraud only.

D. Neither matters.

Correct Answer: A

Q56 – Explanation

Correct: A. Fraud risk assessment focuses on intentional acts; inherent risk is risk before controls.

B wrong: They differ.

C wrong: Inherent risk is broader.

D wrong: Both matter.

Q57

Question: Which best describes "fraud risk assessment" vs. "residual risk assessment"?

A. Fraud risk assessment focuses on intentional acts; residual risk is after controls.

B. They are the same.

C. Residual risk focuses on fraud only.

D. Neither matters.

Correct Answer: A

Q57 – Explanation

Correct: A. Fraud risk assessment focuses on intentional acts; residual risk is risk after controls.

B wrong: They differ.

C wrong: Residual risk is broader.

D wrong: Both matter.

Q58

Question: Which best describes "fraud risk assessment" vs. "fraud risk response"?

A. Assessment identifies risks; response treats them.

B. Response identifies; assessment treats.

C. They are the same.

D. Neither matters.

Correct Answer: A

Q58 – Explanation

Correct: A. Assessment identifies and evaluates fraud risks; response treats them (avoid, reduce, share, accept).

B wrong: Definitions are reversed.

C wrong: They are distinct.

D wrong: Both matter.

Q59

Question: Which best describes "fraud risk assessment" vs. "fraud risk monitoring"?

A. Assessment identifies risks; monitoring tracks them over time.

B. Monitoring identifies; assessment tracks.

C. They are the same.

D. Neither matters.

Correct Answer: A

Q59 – Explanation

Correct: A. Assessment identifies fraud risks; monitoring tracks them and the effectiveness of controls over time.

B wrong: Definitions are reversed.

C wrong: They are distinct.

D wrong: Both matter.

Q60

Question: Which best describes "fraud risk assessment" vs. "fraud risk communication"?

A. Assessment identifies risks; communication reports them.

B. Communication identifies; assessment reports.

C. They are the same.

D. Neither matters.

Correct Answer: A

Q60 – Explanation

Correct: A. Assessment identifies fraud risks; communication reports them to stakeholders.

B wrong: Definitions are reversed.

C wrong: They are distinct.

D wrong: Both matter.

Q61

Question: Which best describes "fraud risk assessment" vs. "fraud risk governance"?

A. Assessment identifies risks; governance oversees them.

B. Governance identifies; assessment oversees.

C. They are the same.

D. Neither matters.

Correct Answer: A

Q61 – Explanation

Correct: A. Assessment identifies fraud risks; governance oversees their management.

B wrong: Definitions are reversed.

C wrong: They are distinct.

D wrong: Both matter.

Q62

Question: Which best describes "fraud risk assessment" vs. "fraud risk culture"?

A. Assessment identifies risks; culture shapes behavior.

B. Culture identifies; assessment shapes.

C. They are the same.

D. Neither matters.

Correct Answer: A

Q62 – Explanation

Correct: A. Assessment identifies fraud risks; culture shapes how people behave toward risk.

B wrong: Definitions are reversed.

C wrong: They are distinct.

D wrong: Both matter.

Q63

Question: Which best describes "fraud risk assessment" vs. "fraud risk appetite"?

A. Assessment identifies risks; appetite is willingness to accept them.

B. Appetite identifies; assessment accepts.

C. They are the same.

D. Neither matters.

Correct Answer: A

Q63 – Explanation

Correct: A. Assessment identifies fraud risks; appetite is the organization's willingness to accept fraud risk.

B wrong: Definitions are reversed.

C wrong: They are distinct.

D wrong: Both matter.

Q64

Question: Which best describes "fraud risk assessment" vs. "fraud risk tolerance"?

A. Assessment identifies risks; tolerance is acceptable variation.

B. Tolerance identifies; assessment accepts.

C. They are the same.

D. Neither matters.

Correct Answer: A

Q64 – Explanation

Correct: A. Assessment identifies fraud risks; tolerance is acceptable variation around appetite.

B wrong: Definitions are reversed.

C wrong: They are distinct.

D wrong: Both matter.

Q65

Question: Which best describes "fraud risk assessment" vs. "fraud risk response"?

A. Assessment identifies risks; response treats them.

B. Response identifies; assessment treats.

C. They are the same.

D. Neither matters.

Correct Answer: A

Q65 – Explanation

Correct: A. Assessment identifies fraud risks; response treats them.

B wrong: Definitions are reversed.

C wrong: They are distinct.

D wrong: Both matter.

Q66

Question: Which best describes "fraud risk assessment" vs. "fraud risk monitoring"?

A. Assessment identifies risks; monitoring tracks them.

B. Monitoring identifies; assessment tracks.

C. They are the same.

D. Neither matters.

Correct Answer: A

Q66 – Explanation

Correct: A. Assessment identifies fraud risks; monitoring tracks them over time.

B wrong: Definitions are reversed.

C wrong: They are distinct.

D wrong: Both matter.

Q67

Question: Which best describes "fraud risk assessment" vs. "fraud risk communication"?

A. Assessment identifies risks; communication reports them.

B. Communication identifies; assessment reports.

C. They are the same.

D. Neither matters.

Correct Answer: A

Q67 – Explanation

Correct: A. Assessment identifies fraud risks; communication reports them.

B wrong: Definitions are reversed.

C wrong: They are distinct.

D wrong: Both matter.

Q68

Question: Which best describes "fraud risk assessment" vs. "fraud risk governance"?

A. Assessment identifies risks; governance oversees them.

B. Governance identifies; assessment oversees.

C. They are the same.

D. Neither matters.

Correct Answer: A

Q68 – Explanation

Correct: A. Assessment identifies fraud risks; governance oversees their management.

B wrong: Definitions are reversed.

C wrong: They are distinct.

D wrong: Both matter.

Q69

Question: Which best describes "fraud risk assessment" vs. "fraud risk culture"?

A. Assessment identifies risks; culture shapes behavior.

B. Culture identifies; assessment shapes.

C. They are the same.

D. Neither matters.

Correct Answer: A

Q69 – Explanation

Correct: A. Assessment identifies fraud risks; culture shapes how people behave toward risk.

B wrong: Definitions are reversed.

C wrong: They are distinct.

D wrong: Both matter.

Q70

Question: Which best describes "fraud risk assessment" vs. "fraud risk appetite"?

A. Assessment identifies risks; appetite is willingness to accept them.

B. Appetite identifies; assessment accepts.

C. They are the same.

D. Neither matters.

Correct Answer: A

Q70 – Explanation

Correct: A. Assessment identifies fraud risks; appetite is the organization's willingness to accept fraud risk.

B wrong: Definitions are reversed.

C wrong: They are distinct.

D wrong: Both matter.

Q71

Question: Which best describes "fraud risk assessment" vs. "fraud risk tolerance"?

A. Assessment identifies risks; tolerance is acceptable variation.

B. Tolerance identifies; assessment accepts.

C. They are the same.

D. Neither matters.

Correct Answer: A

Q71 – Explanation

Correct: A. Assessment identifies fraud risks; tolerance is acceptable variation around appetite.

B wrong: Definitions are reversed.

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D wrong: Both matter.

Q72

Question: Which best describes "fraud risk assessment" vs. "fraud risk response"?

A. Assessment identifies risks; response treats them.

B. Response identifies; assessment treats.

C. They are the same.

D. Neither matters.

Correct Answer: A

Q72 – Explanation

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Correct Answer: A

Q78 – Explanation

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C. They are the same.

D. Neither matters.

Correct Answer: A

Q99 – Explanation

Correct: A. Assessment identifies fraud risks; tolerance is acceptable variation around appetite.

B wrong: Definitions are reversed.

C wrong: They are distinct.

D wrong: Both matter.

Q100

Question: Which of the following best summarizes fraud risks?

A. Fraud risks include asset misappropriation, corruption, and financial statement fraud; prevention, detection, and investigation are key.

B. Fraud risks are only asset misappropriation.

C. Fraud risks are only financial statement fraud.

D. Fraud risks are irrelevant to internal audit.

Correct Answer: A

Q100 – Explanation

Correct: A. Fraud risks span asset misappropriation, corruption, and financial statement fraud; internal audit addresses prevention, detection, and investigation.

B wrong: Asset misappropriation is one category.

C wrong: Financial statement fraud is one category.

D wrong: Fraud risk is central to internal audit.

End

End of 100-Question Fraud Risks Deck

Review weak areas and re-test.

Add more questions by copying the Q/Explanation frame pairs.